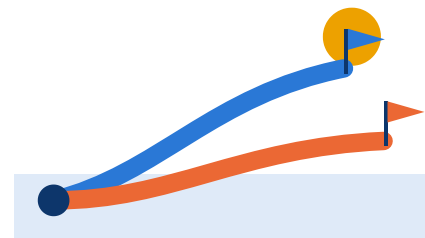


Two Simplicity proposals for Huong Le

Comparing the October 6 proposal (Multi-Manager Aggressive) with the October 8 revision (State Street Moderate Growth) on fees, potential gain, and risk. Both move the two Merrill IRAs to Charles Schwab under Simplicity Wealth. The annuity is unchanged in both.



1.98%

Proposal A all-in cost on the IRAs · \$23,965 a year

1.66%

Proposal B all-in cost on the IRAs · \$20,141 a year

10.6%

A: 5-year hypothetical return a year, net of the proposed fee (07/2021–06/2026)

6.1%

B: 5-year hypothetical return a year, net of the proposed fee (same period)

A October 6 · Multi-Manager Aggressive

- **Rollover IRA:** seven sleeves. Bridgeway Blue Chip stocks 29%, Avantis International ETF 27%, Horizon Upside Plus small/mid stocks 16%, First Trust buffer ETF 11%, First Trust alternatives 10%, Avantis Emerging Markets 5%, global REIT 2%.
- **Roth IRA:** BlackRock Target Allocation 80/20 (iShares ETFs).
- Household mix: 72% stocks, 18% alternatives, 3% bonds, 5% annuity.

B October 8 · SSGA Moderate Growth

- **Both IRAs:** one State Street Strategic Asset Allocation ETF model (75/25). SPDR S&P 500 32%, developed ex-US 17%, aggregate bond 15%, emerging markets 9%, mid and small cap 10%, plus other bonds, real estate, commodities.
- All index ETFs, 0.06% weighted expense ratio.
- Household mix: 67% stocks, 24% bonds, 2% alternatives, 5% annuity.

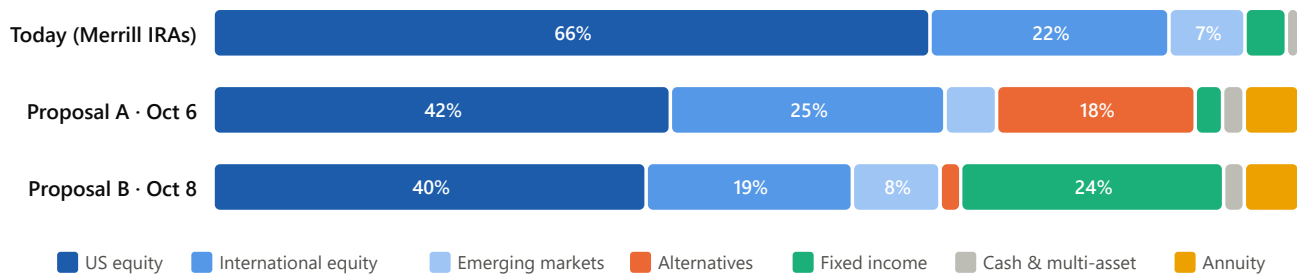
Recommendation: Proposal A (October 6), with the advisory fee negotiated down. Huong is 43 with a 20-plus-year horizon and currently holds 95% stocks. Proposal A keeps a growth posture, adds real diversifiers, and its sleeves beat their benchmark on every period with 82% downside capture. Proposal B is cheaper by about \$3,824 a year and simpler, but it is a 75/25 index model that trails its own benchmark after fees, cuts stock exposure by nearly 30 points from today, and still fell 22% in 2022. Choose B only if the October 8 revision reflects Huong asking for less risk. In that case her tolerance, not the numbers, decides.

WHAT TO WATCH IN EITHER CASE

- **Both proposals cost more than Merrill today.** The current program runs about 0.68% advisory plus roughly 0.55% in active fund expenses, near \$14,884 a year. Simplicity's 1.60% advisory rate on \$1.21M is above the typical 1.00% to 1.25% at this asset level. Every 0.25% negotiated off is about \$3,025 a year.
- **Hypothetical returns are a backtest** of the 2021 to 2026 window, which favored US mega-cap growth and international value. They include the proposed advisory fee but not actual trading.
- **The annuity is a wash.** The NAC VersaChoice 10 was issued March 2026 and carries a \$4,371 surrender charge, so it stays in place under both proposals.

What each proposal holds

Household allocation as printed in each proposal, beside the August 2026 Merrill statements. The annuity is counted in both proposals; Merrill's bar shows only the two IRAs.



PROPOSAL A: SEVEN MANAGERS IN ONE ACCOUNT

Sleeve	Weight	What it is	Expense
Bridgeway Blue Chip	29.1%	About 37 US mega-cap stocks, roughly equal weight, held directly	none
Avantis International (AVDE)	26.9%	Developed ex-US stocks with a value and profitability tilt; 1-yr +44.7%, 5-yr 10.6%	0.23%
Horizon Upside Plus SMID	16.4%	About 25 small and mid-cap stock picks on a 12-month view, 3.7% each	none
FT Cboe Vest Buffer (BUFR)	10.6%	Laddered S&P 500 buffer ETFs; first 10% of loss cushioned, upside capped	1.05%
First Trust Alternatives	9.6%	Managed futures, long/short equity, commodities, short-duration bonds	~1.0%
Avantis Emerging Markets (AVEM)	5.1%	Broad emerging-market stocks, value tilt	0.33%
iShares Global REIT (REET)	2.4%	Global listed real estate	0.14%

PROPOSAL B: ONE INDEX MODEL FOR BOTH IRAS

State Street's Strategic Asset Allocation Moderate Growth model targets about 75% stocks and real assets and 25% bonds and cash, rebalanced yearly. Its public factsheet shows 19.1% for one year, 14.8% for three years, and 7.8% for five years to June 30, 2026 before the advisory fee, which lines up with the 6.1% net figure in the proposal. The weighted expense ratio is 0.06%.

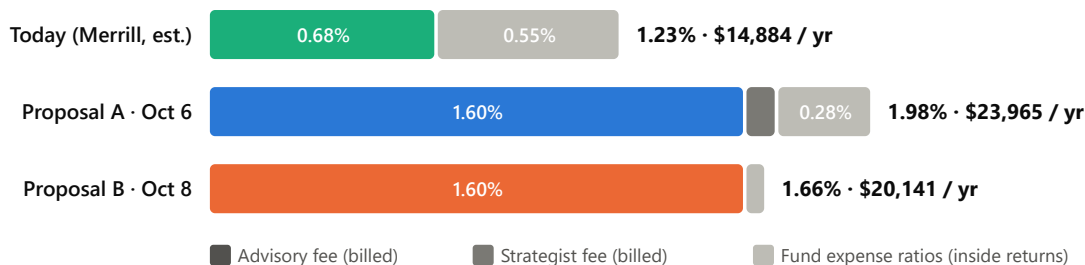


HOW THEY DIFFER

- **Stock exposure:** A keeps 72%, B drops to 67%, and the Merrill accounts hold 95% today. For a 43-year-old with no withdrawals planned, B is the more conservative posture by a wide margin.
- **Concentration:** 45% of A's Rollover IRA is in two lists of individual stocks. Each small-cap name in the Horizon sleeve is about \$7,100 of her money. B holds thousands of stocks through index ETFs.
- **Transparency:** B can be checked against a public factsheet. A's blended result exists only in the proposal, because the mix is custom.
- **Roth IRA:** A gives the \$30,100 Roth its own BlackRock 80/20 model. B uses the same 75/25 model as the Rollover. Either is fine at this size.

Fees

Simplicity prints fees blended across the whole household including the annuity. The figures below are restated on the \$1,210,100 that actually pays the fee, the two IRAs. The advisory rate works out to 1.60% on managed assets in both proposals.



Annual cost line	Today at Merrill (est.)	Proposal A · Oct 6	Proposal B · Oct 8
Advisory fee, billed to the account	0.68% (\$8,229)	1.60% (\$19,362)	1.60% (\$19,362)
Strategist (manager) fee, billed	none	0.09% (\$1,147)	none
Fund expense ratios, inside returns	~0.55% (\$6,656)	0.28% (\$3,442)	0.06% (\$765)
All-in	1.23% (\$14,884)	1.98% (\$23,965)	1.66% (\$20,141)
Change versus today	—	+\$9,081 a year	+\$5,257 a year
A minus B	\$3,824 a year , about \$53,431 over ten years as the balance grows		

READING THE FEE STACK

- **The advisory fee is the whole story.** It is 1.60% in both proposals and dwarfs the 0.30% gap in product costs between A and B. Simplicity's own benchmarking table in the appendix puts the 75th percentile of total advice-plus-investment fees between 1.34% and 2.24% depending on plan size.
- **Merrill's program fee is 0.85%** list, reduced to 0.70% or lower for Preferred Rewards members. Huong's statements show about 0.68% being deducted, so she already has the discount.
- **Where A's extra cost sits:** the buffer ETF at 1.05% and the First Trust alternatives near 1.0% are 20% of the Rollover IRA. The individual-stock sleeves carry no fund expense but a 0.10% strategist fee.
- **Not in either table:** Schwab transaction or custody charges, and trading costs inside Horizon's 12-month stock list. Inside an IRA there is no tax cost to turnover.

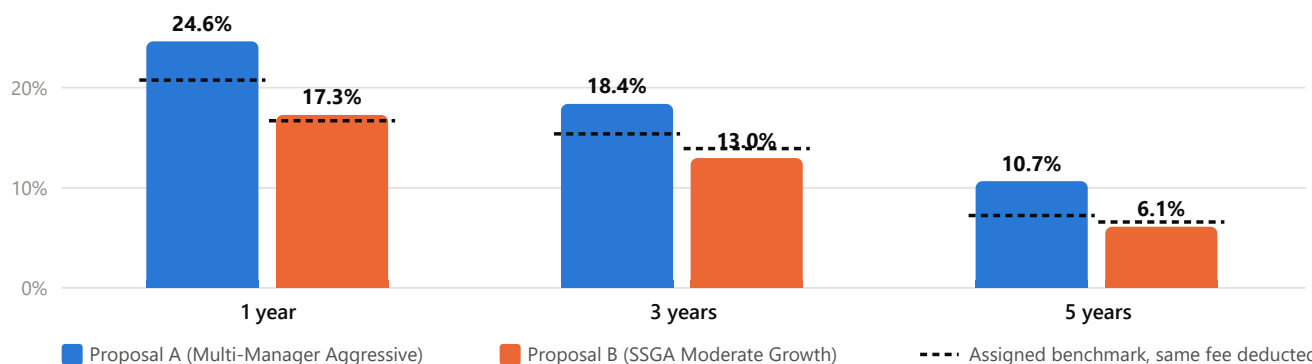


NEGOTIATING TARGET

At \$1.2 million, a 1.25% advisory rate would trim \$4,235 a year from either proposal and bring A's all-in cost to about 1.63%. Ask for the fee schedule tiers before signing; the proposal shows a single blended rate.

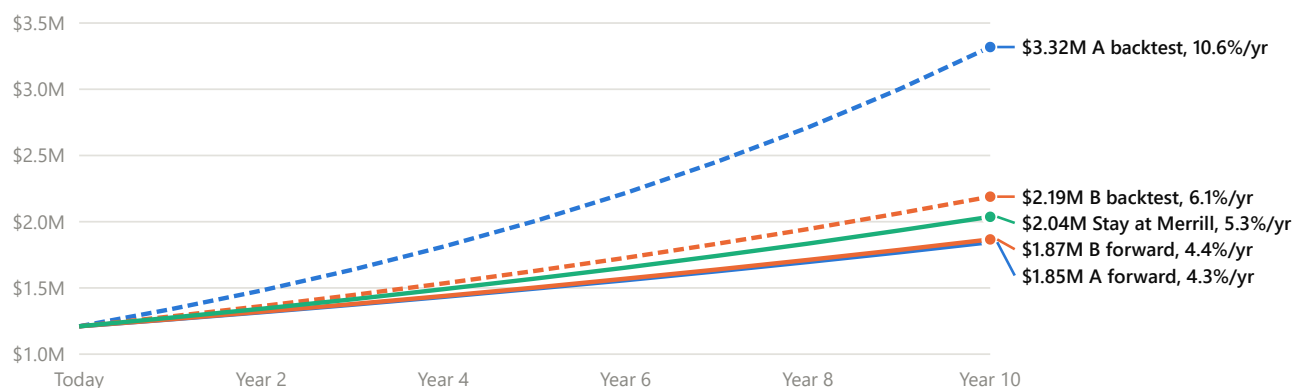
Potential gain

Simplicity's hypothetical returns for the Rollover IRA model, July 2021 to June 2026, with the proposed advisory fee already deducted. The dashed tick is the benchmark Simplicity assigned to each model, with the same fee deducted.



Rollover IRA model, net of fee	YTD 2026	1 yr	3 yr	5 yr	10 yr	Volatility	Worst drop	Sharpe	Down capture	Yield
A Multi-Manager Aggressive	12.0%	24.6%	18.4%	10.7%	n/a	13.0%	-22.4%	2.20	82%	2.0%
its benchmark	9.2%	20.8%	15.4%	7.2%	n/a	13.7%	-24.6%	1.22	100%	
B SSGA Moderate Growth	8.8%	17.3%	13.0%	6.1%	8.0%	12.2%	-22.5%	1.06	98%	2.6%
its benchmark (75% ACWI / 25% Agg)	7.8%	16.7%	13.9%	6.6%	8.3%	12.4%	-23.9%	1.16	100%	
Roth under A: BlackRock 80/20	11.4%	21.5%	16.2%	8.8%	10.1%	13.2%	-22.3%	1.69	98%	1.7%
Merrill IRAs, actual 2026 through August	13.7% net	14.2% gross on \$1.15M, against the S&P 500's 12.3% price gain. Simplicity did not back-test the current holdings.								

TEN-YEAR PROJECTION OF THE TWO IRAS



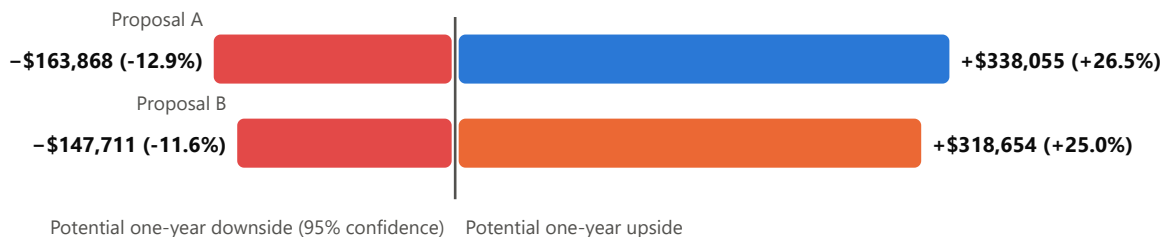
Dashed: Simplicity hypothetical net returns (07/2021–06/2026) carried forward. Solid: forward assumptions net of all fees. \$1,210,100 start, no contributions.

Basis	Proposal A	Proposal B	Difference	Comment
Simplicity 5-year backtest carried forward (10.6% vs 6.1%)	\$3,318,569	\$2,189,699	A + \$1,128,870	Optimistic. Assumes the 2021–2026 pattern repeats.
Forward assumptions net of all fees (4.3% vs 4.4%)	\$1,845,048	\$1,866,795	B + \$21,747	A wash. Stocks 6.5–7.5%, bonds 4.5%, alternatives 5.0% before fees.

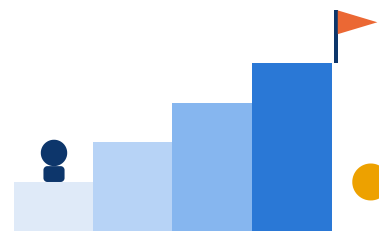
On the same forward assumptions, staying at Merrill reaches about \$2,036,664, because the current 95% stock mix and lower fee compound faster. That path also carries the full equity drawdown with no buffer or alternatives.

Risk, suitability, and the call

Simplicity's Value at Risk figures for the whole \$1,274,750 household, at 95% confidence over one year, and the AssetLock alert floor each proposal sets.



Risk measure	Proposal A	Proposal B
Potential one-year upside	+\$338,055 (+26.5%)	+\$318,654 (+25.0%)
Potential one-year downside	-\$163,868 (-12.9%)	-\$147,711 (-11.6%)
AssetLock alert threshold	12.85% (\$1,110,882)	11.59% (\$1,127,039)
Worst 5-year drawdown, Rollover model	-22.4%	-22.5%
Annualized volatility	13.0%	12.2%
Beta to benchmark	0.93	0.97



B's 24% in bonds bought almost no drawdown protection in this window: both models fell about 22% in 2022, when bonds fell with stocks. A's cushion came from the buffer ETF and the alternatives sleeve instead, which is why its downside capture is 82% against B's 98%.

Recommendation. Go with **Proposal A (October 6)** for the Rollover IRA, and the BlackRock 80/20 model for the Roth, on three conditions:

1. Negotiate the advisory rate from 1.60% toward 1.25% or lower. This is worth more than the entire product-cost gap between A and B.
2. Confirm Huang is comfortable that 45% of the Rollover is two lists of individual stocks, including 25 small caps that turn over yearly. If not, ask Simplicity to swap the Horizon sleeve for a small-cap ETF such as Avantis US Small Cap Value and keep the rest.
3. Get the AssetLock threshold in writing at the 12.85% shown, with a plan for what happens at the alert. It is a notification, not a stop-loss.

When B is the right answer. If the October 8 revision came from Huang saying she wants less risk than her Merrill accounts carry, Proposal B matches that request and the fee is lower. In that case, point out that she is paying 1.66% all-in for an index model that trailed its own benchmark on every period, and ask whether Simplicity offers the same 75/25 posture with the buffer and alternatives sleeves from A.

Either way, name the trade-off plainly. Moving from Merrill raises her annual cost by \$5,257 to \$9,081. What she buys is risk management, monitoring, and planning, not cheaper investing. Her Merrill accounts returned 13.7% net this year through August, so the switch has to be justified on the next downturn, not the last rally.

SOURCES AND LIMITS

- Simplicity Wealth proposals for Huang Le dated October 6, 2026 (75 pages) and October 8, 2026 (64 pages): allocation, fee, VaR, AssetLock and hypothetical performance pages. Returns are hypothetical, net of the proposed advisory fee, for 07/2021–06/2026, and are not actual client results.
- Merrill Rollover and Roth IRA statements for August 2026 as analyzed in the H-Le Portfolio Review; NAC VersaChoice 10 contract summary as of September 15, 2026.
- Public data retrieved October 9, 2026: Merrill Guided Investing with Advisor fee 0.85%, reduced for Preferred Rewards (NerdWallet, Merrill CRS); BUFR expense 1.05% and returns (etfrc.com); AVDE returns and 0.23% expense (etfdb.com); State Street Strategic AA Moderate Growth factsheet to June 30, 2026 (ssga.com); BlackRock Target Allocation 80/20 fund returns (blackrock.com); S&P 500 total return 15.2% a year for the ten years to September 30, 2026 (chartrow.com).
- Merrill fund expense ratio of 0.55% is an estimate; the full holdings page was not available. Forward return assumptions are the analyst's, stated on page 4, and are not forecasts. Nothing here is tax or legal advice.